The Three Dollarizations:

A History of the Legitimation of Financial Subordination

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Main argument

The formal dollarization in Ecuador was necessarily preceded by two previous dollarizations: a financial one that came accompanied by the active participation of social democrats (I.D.) who subtly but steadily introduced the need for a particular type of expertise (second dollarization). This expertise, composed of elites trained in American universities and with ties with private local banks, also fomented the need to “popularize” the use of the American dollar as a common currency and a means of routine exchange. Only after institutionalizing a defined type of expertise and only after creating a public opinion framing in favor of the dollar was the formal dollarization achieved.

Methods: Archival

- We constructed an original prosopographical database of the board of the (55) Central Bank of Ecuador (CBE) and the finance ministers (44) of the Ecuadorian Governments during 1979 - 2022.
- The database also contains information of the opinion leaders (30) of "Diario Hoy", one of the main press media in the period of the "formal dollarization" in Ecuador.
- A full list of the authorities was obtained from the official reports from the Finance Ministry and the Annual Memoirs of the General Manager of the CBE.
- The opinion leaders and the most influential news containing the word "dollarization" were collected using Factiva.
- Complete profiles of all the "dollarization players" were constructed from technical and historical documentation, as well as media, and specialized social media sources (i.e.: Scholar google, Linkedin, Research Gate, etc.).

Methods: In-depth interviews

- Some of the individuals from the database were invited to participate in interviews and, therefore, to allow the conduction of qualitative analysis about their roles, positions, knowledge and other related information of the historical context of the dollarization.
- The selection criteria of the actors include: a balance on the social context (region, genre, the area of expertise, etc.), and their position in the Ecuadorian Government during the period considered.
- From the in-depth interviews is expected to get information about the expertise construction and the individuals' direct experience.
- The actors that accepted the invitation will be interviewed coming soon.

Methods: Geometrical Data Analysis - GDA

- A GDA is applied to identify agents' trajectory, knowledge architecture, and relative positions that played a role in the arrival of the new currency.
- GDA allows to break down the contribution of the variables to the dimensions considered (important).
- We considered three dimensions to generate the clusters or the different groups of power that influenced the dollarization legitimation.
- Each group contributes distinctively to the dollarization achievement in each stage or period of dollarization.

The decade of the 1970s

In the beginning of the 70s, Ecuador (a small South American country) began to export oil, pushing strongly their growth rates during the 70s (an average of 9 %).

The oil-shift growth

The oil boom transformed the Ecuadorian economy, primarily agrarian before the oil-exporting shift, and the role of the government in the economy (Cueva & Díaz, 2018).

The increasing flow of "petro-dollars"

The expansion cycle drove by the state was accompanied by the increasing flow of external debt to provide the public spending (early industrialization and infrastructures efforts).

The debt-burden economy

The increasing in the international interest rates and the declining in the oil export prices fostered the external debt to unsustainability levels and macroeconomic disequilibria.

The "lost decade", the 1980s

Neoliberal reforms

1. "Sucretization"
2. Multiple devaluations
3. Structural adjustments
4. External debt aggravation

"Sucretization" is the cornerstone of the financial subordination in the history. In 1982, the government decided to convert private debt in dollars to the national currency, the "Sucre". In other words, paying the private debt acquired in dollars to the external creditors while be paid by the original private debtors in "Sucres". Assuming this huge amount of exchange risk implied a socialization of the private sector debt interests.

The decade of the 1990s

The neoliberal program continued during all the decade. The poor economic performance of the economy was followed by a period of political instability.

Financial sector liberalization

In 1994, the government approved a new banking law that liberalized the financial sector (even eliminating the national authority of banks regulation) and allowed banks savings accounts in dollars.

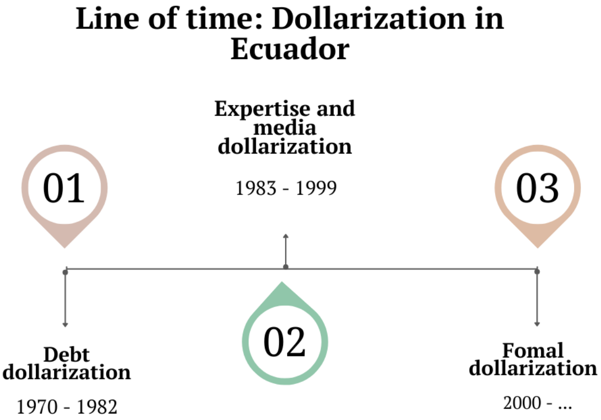
A new constitution

The new constitution enacted in 1998 changed the institutional architecture within it included granting the central bank technical and administrative autonomy from the government. At the same time, CBE was authorized to act as a lender of last resort.

The financial crash of 1999

The worst financial crisis in Ecuador's history reached the banks deposits frozen.

The three dollarizations cronology



Descriptive: general observations

The profile of the "technopols" are related with the next socio-economic variables. Their presence and influence grow steadily in the three periods of dollarization.

Dollarizations	**Debt (1979 – 1982)**	**Expertise (1983 - 1999)**	**Formal (2000 –)**
Secondary private funding	68.6%	79.5%	92.3%
Highest degree (MA)	22.9%	29.5%	46.2%
University private funding	25.7%	54.5%	65.4%
Graduate region (North America)	22.9%	31.8%	38.5%
Private experience	91.4%	95.5%	96.2%
Multilateral experience	8.6%	29.5%	38.5%
Banking relation	25.7%	27.3%	38.5%
Chambers relation	6.8%	23.1%	38.5%

Table: Selected statistics of all players acording to milestones of dollarization

Descriptive: finance ministers

The construction of their expertise relies on a higher specialization and connections with the Global North (seen as socially valuable).

Dollarizations	**Debt (1979 – 1982)**	**Expertise (1983 - 1999)**	**Formal (2000 –)**
Highest degree (Ph.D.)	0%	8.3%	26.7%
University private funding	22.2%	50.0%	66.7%
Graduate private funding	22.2%	41.7%	46.7%
Graduate region (North America)	44.4%	50.0%	46.7%
Private experience	88.9%	100.0%	100.0%
Multilateral experience	0.0%	41.7%	46.7%
Chambers relation	0.0%	16.7%	26.7%

Table: Selected descriptive statistics of finance ministers according to milestones of dollarization

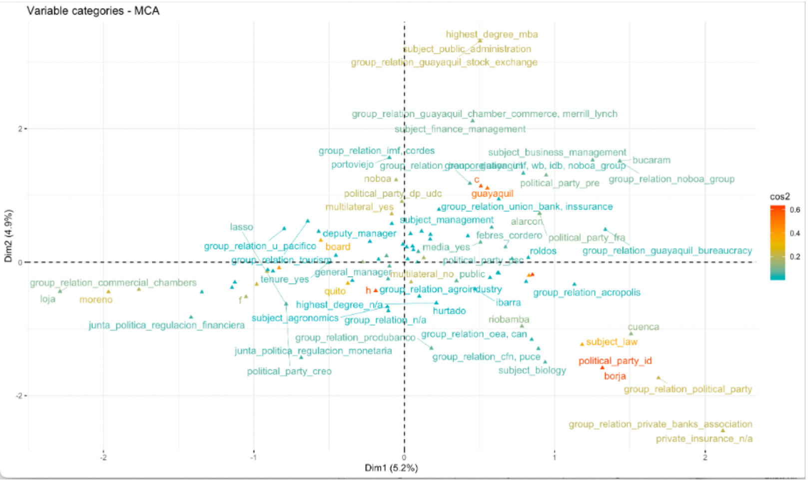
Descriptive: central bankers

After the formal or institutionalized dollarization, the profile of the central bankers seems to change, in particular, with academic relation and the Global North connections.

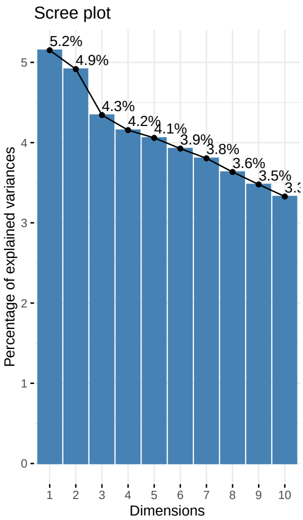
Dollarizations	**Debt (1979 – 1982)**	**Expertise (1983 - 1999)**	**Formal (2000 –)**
Highest degree (MA)	12.5%	16.7%	45.5%
University region (EU)	0.0%	8.3%	9.1%
Subject (Economics)	56.3%	58.3%	63.6%
Graduate region (North America)	18.8%	50.0%	27.3%
No academic experience	62.5%	83.3%	90.9%
Multilateral experience	12.5%	58.3%	27.3%
Banking relation	18.8%	50.0%	36.4%
Industry relation	6.3%	8.3%	9.1%

Table: Selected descriptive statistics of Central Bankers according to milestones of dollarization

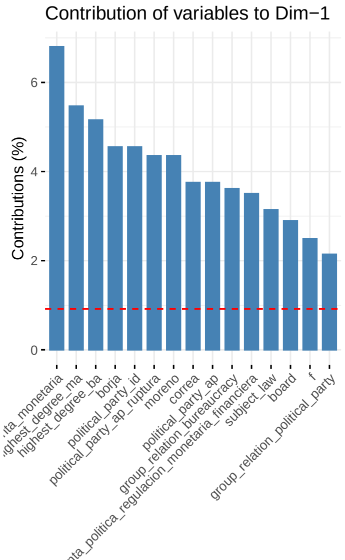
GDA of Central Bankers



Dimensions and variance

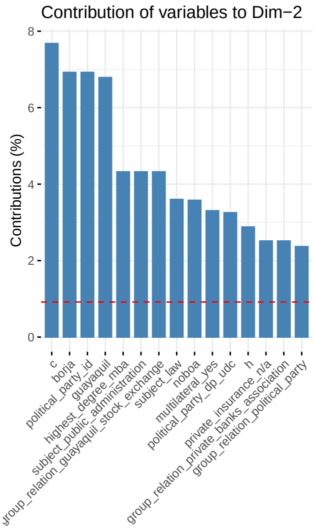


GDA: Political reformism



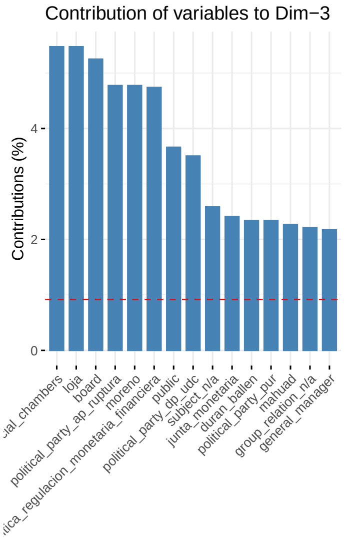
More education people, with connections to the Global North, was related with the President Rodrigo Borja and his party named "Izquierda democrática" (social-democracy). One period of dollarization is related to reformism political aspirations.

GDA: Legalist and financial expertise



A second dimension of dollarization was fostered by lawyers and bankers specifically from the coast region in Ecuador (the ideas mobilized from the Global North must go through internal battles that shape the final format of the designs imposed). This group of power is directly related with neoliberal reforms during the dollarization of legal and financial expertise.

GDA: Merchants with public sector experiences



Integrants of this group of power are merchants with experience in the bureaucratic structures of the State. Local elites promoted narratives in favor of microeconomic practices that naturalized the necessity of following American consumption standards and of dependency with international financial markets.

Conclusions

- The mobilization of knowledge, vested as technical expertise, was inserted into the Central Bank and Finance Ministry (bureaucratic structures of the State), normalizing the necessity to follow models of austerity and international financial dependency prescribed by institutions such as the IMF and the World Bank.
- There is an intensification of the presence of neoliberals during the two previous definitory dollarizations, in particular, with the legalist and financial expertise (1983-1999).
- Those processes created the conditions for the emergence of subjective and objective structures in public policy circles that promoted the acceptance of the dollar as a silent imposition from local and transnational elites.
- It is one of the few cases in history where the American currency was formally introduced by the government and later legitimized by popular support.

Thank you!